

**BEFORE
THE FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-34

SEAFair USA LLC

VS.

STERLING CONTAINER LINE LIMITED AND
ATLANTIC FORWARDING LTD.

**RESPONDENTS STERLING CONTAINER LINE LIMITED AND ATLANTIC
FORWARDING LTD.'S RESPONSE TO COMPLAINANT'S MOTION TO COMPEL**

Pursuant to 46 C.F.R. § 502.150, Respondents Sterling Container Line Limited (“Sterling”) and Atlantic Forwarding Ltd. (“Atlantic”, and together with Sterling, “Respondents”), by and through their undersigned counsel, hereby respond to Complainant SeaFair USA LLC’s (“SeaFair” or “Complainant”) Motion to Compel Production of Documents of June 12, 2023 (the “Motion to Compel”) as follows.¹ This Motion should be denied as moot; while preserving all objections, in a good faith effort to not delay these proceedings, Respondents have produced supplemental responses to all discovery requests at issue to SeaFair.

I. BACKGROUND

SeaFair seeks to compel certain discovery responses of Respondents pursuant to 46 C.F.R. § 502.150, including from SeaFair’s First and Second Set of Interrogatories, SeaFair’s First and Second Set of Requests for Production, and SeaFair’s Second Set of Requests for Admission. However, Respondents have now either (i) produced to SeaFair all responsive documents identified by Respondents as of June 20, 2023, notwithstanding the Respondents’ prior objections,

¹ This Response, dated June 20, 2023, is timely pursuant to 46 C.F.R. § 502.101 given that the original deadline for a response, June 19, 2023, fell on the federal holiday of Juneteenth.

or (ii) already provided responsive answers and documentation to the requests identified in the instant Motion to Compel.

SeaFair served its First Set of Interrogatories, First Set of Requests for Admission, and First Set of Requests for Production on March 10, 2023. Respondents provided timely responses and objections to the First Set of Interrogatories and First Set of Requests for Admission on April 24, 2023. Respondents then provided responses and objections to the First Set of Requests for Production on April 25, 2023. On the same day, the Parties filed a joint motion to extend the discovery deadline to May 1, 2023, which was granted.

On May 1, 2023, SeaFair served on Respondents its Second Set of Interrogatories, Second Set of Requests for Admission, and Second Set of Requests for Production (collectively, the “Second Set of Discovery Requests”). As with the First Set of Discovery Responses, Respondents provided timely responses and objections to the Second Set of Discovery Requests on May 31, 2023.

On June 1, 2023, counsel for SeaFair served upon Respondents a document titled “outstanding issues,” which consisted of a list of certain prior SeaFair discovery requests and Respondents’ responses thereto for which SeaFair requested additional clarification (the “Request for Discovery Clarification”). The Request for Discovery Clarification identified each of the 20 discovery requests and responses contained in the instant Motion to Compel, including the 3 interrogatories, 11 requests for production, and 6 requests for admission.

While not required to respond, Respondents in good faith served their Responses to SeaFair’s Request for Discovery Clarification on June 8, 2023, which contained detailed answers, objections, and requests for supplemental clarification in connection with SeaFair’s Request for Discovery Clarification. (See Exhibit A).

The Parties subsequently held an initial mediation session on June 12, 2023. Later that day, following mediation, SeaFair filed the instant Motion to Compel, despite the fact that several of the requested responses had already been provided by Respondents, including in their June 8 Response to SeaFair’s Request for Discovery Clarification.

Notwithstanding the Respondents’ original objections to SeaFair’s First and Second Set of Requests to Produce Documents, in the interest of good faith, on June 20, 2023 Respondents produced to SeaFair over 5,600 supplemental, additional documents. SeaFair’s Requests to Produce Documents identified in the Motion to Compel were generally unduly burdensome, duplicative, sought information that was not proportional to the needs of the case, concerned documents equally accessible or known to the Complainant, and were overly broad. Further, some of these supplemental documents were maintained in multiple foreign locations and jurisdictions. Notwithstanding the foregoing, Respondents have provided such supplemental discovery production to SeaFair as of June 20, 2023.

Ultimately, as further described herein, (i) Respondents have already provided detailed responses to each of the 3 Interrogatories identified in the Motion to Compel; (ii) Respondents have now produced all responsive documents identified for the purposes of the 11 Requests for Production described in the Motion to Compel; and (iii) Respondents previously answered each of SeaFair’s 6 Requests for Admission identified in the Motion to Compel, including in their June 8 Response to SeaFair’s Request for Discovery Clarification. Accordingly, SeaFair’s Motion to Compel is moot and should be denied in whole or in part.

II. LEGAL STANDARD

The Federal Maritime Commission’s (“FMC”) Rules entitle parties to discovery “regarding any nonprivileged matter that is relevant to any party’s claim or defense—including the existence,

description, nature, custody, condition, and location of any documents or other tangible things and the identity and location of persons who know of any discoverable matter.” 46 C.F.R. § 502.141(e)(1). Importantly, the FMC’s discovery rules must be “construed to secure the just, speedy, and inexpensive determination of every proceeding.” 46 C.F.R. § 502.1. Discovery should not be ordered where it subjects a party to undue burden or unnecessary expense, or where the burden or expense of the proposed discovery outweighs its likely benefit. *See* 46 C.F.R. §502.141(e)(2)(ii)(C). Discovery should also not be ordered where it would be unreasonably cumulative or duplicative, or can be obtained from some other source that is more convenient, less burdensome, or less expensive. *See* 46 C.F.R. §502.141(e)(2)(ii)(A).

Courts “frequently deny discovery when the party requests voluminous discovery where only a small fraction of the produced documents may be relevant. Courts often call such attempts ‘fishing expeditions.’” *U.S. v. Kellogg Brown & Root Servs., Inc.* 284 F.R.D. 22, 36-37 (D.D.C. 2012). Courts should not “endorse ‘fishing expeditions,’ discovery abuse and inordinate expense involved in overbroad and far-ranging discovery requests,” but rather should “tailor discovery ‘to the issues involved in the particular case.’” *Id.* at 37.

III. RESPONSE TO COMPLAINANT AND ARGUMENT

The issues set forth in the Motion to Compel are moot and the Motion to Compel should be denied. As further set forth below, Respondents have already answered the 3 interrogatories and the 6 requests for admission identified in the Motion to Compel. With respect to the 11 requests for production identified in the Motion to Compel, despite the unduly burdensome volume of documents requested, their lack of proportion and relevance to the needs of the case, the duplicative nature of the requests, and their availability to the Complainant, as of the date of this

Response Respondents have now produced supplemental discovery that includes all documents identified by Respondents to date as responsive to SeaFair's requests for production.

A. Respondents' Responses to SeaFair's Interrogatories

i. First Set of Interrogatories Request No. 8

SeaFair's Request No. 8 from its First Set of Interrogatories was answered in Respondents' June 8 Response to SeaFair's Request for Discovery Clarification. (See Exhibit A, p. 1). By reference to a prior discovery exhibit, SeaFair identified approximately 1,000 bill of lading numbers identified in PDF format that begin with the letters "SCL," and requested that Respondents' identify any bills of lading that Sterling denies issuing. Respondents have responded, and continue to respond, by stating that Sterling's house bill of lading numbers are identified by the first three letters "SCL," and that based on a sampling of the bills of lading identified by SeaFair, Sterling was likely the carrier for those bills of lading identified by SeaFair where the reference number began with the "SCL" designation. (See Exhibit A, p. 1). The documents speak for themselves, and Respondents crave reference to the documents themselves.

ii. Second Set of Interrogatories Request No. 2

SeaFair's Request No. 2 from its Second Set of Interrogatories was answered in Respondents' Responses to SeaFair's Second Set of Interrogatories (May 31, 2023) as well as in Respondents' June 8 Response to SeaFair's Request for Discovery Clarification. (See Exhibit A, p. 4-5). Notwithstanding the foregoing, to the extent that SeaFair requires additional information and documentation concerning Respondents' corporate structure, officers, directors, and shareholders, on June 20, 2023, Respondents provided a supplemental production of documents to SeaFair that included a separately identified exhibit containing the complete corporate registration

in the Swiss Commercial Register of Canton Basel-Stadt for Atlantic Forwarding Ltd., which contains the requested information.

iii. Second Set of Interrogatories Request No. 4

SeaFair's Request No. 4 from its Second Set of Interrogatories has been answered by Respondents, including in Respondents' June 8 Response to SeaFair's Request for Discovery Clarification. (*See Exhibit A*, p. 5).

B. SeaFair's Requests for Production

Respondents initially objected to each the 11 requests for production identified in SeaFair's Motion to Compel. However, in a good faith attempt to resolve the supplemental concerns raised by SeaFair, Respondents have now produced over 5,600 additional documents to SeaFair that Respondents have identified as responsive, despite the fact that Respondents still assert that SeaFair's requests for production were generally overbroad, vague, unduly burdensome, unlikely to lead to evidence relevant or proportional to the needs of the case, and sought duplicative information already in the possession of, known to, or otherwise equally available to the Complainant. Additional information concerning the 11 requests for production identified in the Motion to Compel is included below. Respondents' June 8 Response to SeaFair's Request for Discovery Clarification (*Exhibit A*) is incorporated by reference.

i. First Set of Requests for Production - Request No. 1

SeaFair's Request No. 1 in its First Set of Requests for Production requests "all documents related to the services SeaFair performed" for Respondents from May 2021 to present. Respondents requested clarification from SeaFair on this request in their June 8 Response to SeaFair's Request for Discovery Clarification, objecting on the grounds that the request was overbroad and vague, and requesting guidance on what specific documents are contemplated in

connection with the production request. (See Exhibit A, p. 2). Notwithstanding the foregoing objections, including those originally identified in Respondents' responses, Respondents have now produced all documents identified as responsive to this Request to SeaFair.

ii. First Set of Requests for Production - Requests No. 3, No. 5, No. 6, and No. 8

SeaFair's Requests No. 3, No. 5, No. 6, and No. 8 in its First Set of Requests for Production and identified in the Motion to Compel seek (i) copies of all master and house bills of lading in which Atlantic or Sterling were the identified shipper and/or consignee and where SeaFair was the consignee and/or notify party, and (ii) invoices that Respondents received from the carriers of such master and house bills of lading and invoices Respondents issued to their customers, shippers, and/or consignees who were merchants of the referenced bills of lading. Respondents objected to these requests on the grounds that they were overbroad, unduly burdensome, and sought duplicative information already in the possession of, known to, or otherwise equally available to the Complainant. (See Exhibit A, p. 2-4, 6-8).

SeaFair has already identified in its own discovery request exhibits copies of certain master and house bills of lading being requested from Respondents, as well as lists of close to a thousand bills of lading by number in which Sterling was identified as shipper and SeaFair was identified as either the destination agent or consignee. SeaFair can clearly access the requested documents for production, and has shown they have access to these documents.

Notwithstanding the Respondents prior objections, as of the date of this Response, Respondents have now produced to SeaFair supplemental discovery that includes all such bills of lading and invoices requested by SeaFair that were identified by Respondents as responsive to these requests.

iii. First Set of Requests for Production - Request No. 16

SeaFair's Request No. 16 in its First Set of Requests for Production seeks "all working group lists, organization charts, directories, or other documents sufficient to identify individuals and entities with knowledge of the facts which serve as the basis for the Verified Answer and Defenses to Complaint." Respondents previously provided SeaFair with a list of individuals with knowledge of the facts which serve as the basis for the Respondents' Verified Answers and Defenses to SeaFair's Complaint through Respondents' responses to SeaFair's Interrogatory Requests (including in Respondents' Responses to Complainant's First and Second Set of Interrogatories). Respondents object to the request to the extent it seeks information that is not likely to lead to admissible evidence or is otherwise irrelevant. To the extent that SeaFair seeks documents reflecting the international corporate staffing structure of Respondents, and Respondents are compelled to produce such information, Respondents view such documents as confidential commercial information and any such documents would only be produced to SeaFair if subject to a confidentiality protective order issued pursuant to FMC regulations.

iv. Second Set of Requests for Production - Requests No. 3, No. 4, No. 6, and No. 7

SeaFair's Requests No. 3, No. 4, No. 6, and No. 7 to its Second Set of Requests for Production seek copies of master and house bills of lading identified in associated exhibits, as well as a list of master and house bills of lading by number which were issued by MSC and Sterling and in which Sterling was identified as the shipper and SeaFair was identified as either forwarding/delivery agent or consignee. SeaFair states that such documents are not easily accessible by SeaFair, despite the fact that SeaFair produced relevant house and master bills of lading as well as lists of house and master bill of lading numbers in which Sterling was the shipper

and SeaFair was identified as either forwarding agent or consignee as part of its own discovery requests exhibits.

Notwithstanding the Respondents prior objections, as of the date of this Response, Respondents have now produced to SeaFair supplemental discovery that includes all bills of lading and related documentation requested by SeaFair that has been identified by Respondents as responsive to SeaFair's Requests No. 3, No. 4, No. 6, and No. 7 to its Second Set of Requests for Production.

v. Second Set of Requests for Production - Request No. 9

SeaFair's Request No. 9 to its Second Set of Requests for Production seeks "all agency agreements relevant to this action executed between" Respondents. No such agreements have been identified by Respondents to date.

C. SeaFair's Second Set of Requests for Admission

SeaFair seeks to compel Respondents' responses to six of SeaFair's Second Set of Requests for Admissions, which were served upon Respondents on May 1, 2023. Respondents initially served their Responses to SeaFair's Second Set of Requests for Admission on May 31, 2023. On June 1, 2023, SeaFair served the Request for Discovery Clarification to seek to clarify Respondents' discovery responses, including Respondents' Responses to SeaFair's Requests for Admission. On June 5, 2023, 35 days after the Scheduling Order deadline for the last day to serve discovery requests in this case, SeaFair requested that Respondents provide updated responses to 14 of 17 requests for admission in Complainant's Second Set of Requests for Admission due to the fact that SeaFair mislabeled the exhibits in its Second Set of Requests for Admission.

Respondents' Response to SeaFair's Request for Discovery Clarification was served on SeaFair on June 8, 2023. The Motion to Compel asserts that Respondents "had the obligation to

seek clarification when it was apparent that Complainant had inadvertently mislabeled the Exhibits.” SeaFair’s original Exhibit 1 to the Second Set of Requests for Admission contained certain master bills of lading issued by MSC, along with terms and conditions for those master bills of lading. SeaFair’s original Exhibit 2 to the Second Set of Requests for Admission contained house bills of lading along with terms and conditions of those house bills of lading.

Regardless, Respondents’ June 8, 2023 Response to SeaFair’s Request for Clarification answered all of the identified Requests for Admission as applicable to *both* Exhibits originally presented in SeaFair’s Second Set of Requests for Admission, and Respondents’ Responses in the attached Exhibit A are hereby incorporated into the instant Response by reference. (See Exhibit A, p. 9-14). Contrary to SeaFair’s representations in the Motion to Compel, the six outstanding Requests for Admission identified in the Motion to Compel have been thoroughly answered and responded to by Respondents, including in Respondents’ June 8, 2023 Response to SeaFair’s Request for Clarification. Respondents did not “refuse” to re-answer these requests as asserted by SeaFair - in fact, Respondents sought to provide responsive answers under and in the context of both of the Original Exhibits to SeaFair’s Second Set of Requests for Admission.

Specifically, in pages 9-14 of Respondents’ Response to SeaFair’s Request for Clarification, Respondents provide complete responses to the six requests identified in the instant Motion to Compel that were originally issued in SeaFair’s Second Set of Requests for Admissions, including Request Nos. 3, 5, 8, 9, 10, and 17 identified in the Motion to Compel at pages 12-17. (See Exhibit A, p. 9-14). Respondents’ responses referenced both Original Exhibit 1 and Original Exhibit 2 to SeaFair’s Second Set of Requests for Admission to avoid any confusion caused by SeaFair’s mislabeling of the Exhibits, and provide responsive admissions to the requests under both Exhibits despite SeaFair’s exhibit labeling error. It is therefore unclear to Respondents why

SeaFair has stated that Respondents have refused to re-answer the six identified requests at issue in the instant Motion to Compel that were originally issued in SeaFair's Second Set of Requests for Admission. (See Exhibit A, p. 9-14).

IV. CONCLUSION

Respondents have in good faith resolved the supplemental requests raised by SeaFair. Respondents provided answers and responses to each of the 3 interrogatories and 6 requests for admission identified by SeaFair in the Motion to Compel. Further, notwithstanding Respondents prior objections, Respondents have now further supplemented their production to include all responsive documents identified to date in response to SeaFair's 11 requests for production identified in the Motion to Compel. Accordingly, the Motion to Compel should be denied as moot, or alternatively the Motion to Compel Responses to SeaFair's Interrogatories and Requests for Admission should be denied, and the Motion to Compel Respondents' Responses to SeaFair's Requests for Production should be deferred while SeaFair reviews the supplemental discovery produced by Respondents on June 20, 2023.

Date: June 20, 2023

[Signature Page Follows]

Respectfully Submitted,

/s/ Ashley K. Kelley

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*Counsel for Atlantic Forwarding Ltd. and Sterling
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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 20th day of June 2023, the foregoing Response to Complainant's Motion to Compel was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
The Honorable Erin M. Wirth
Chief Administrative Law Judge
Presiding Administrative Law Judge
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